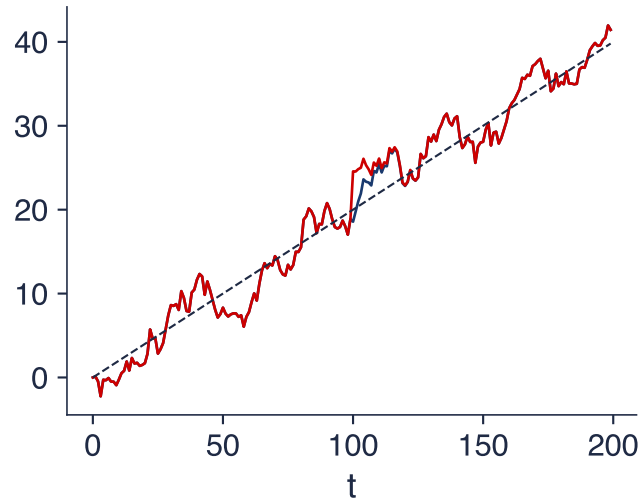
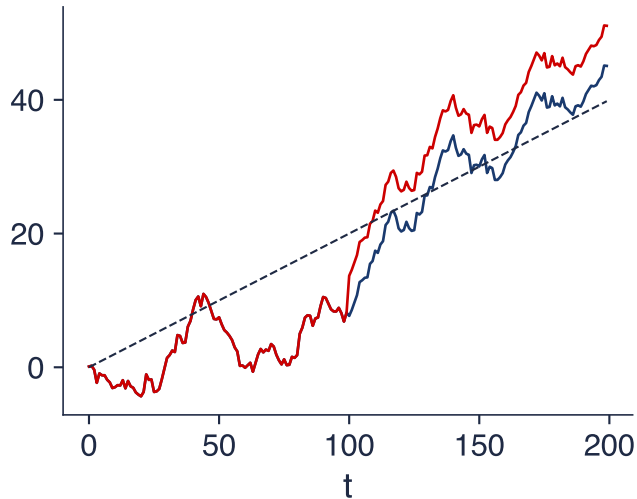
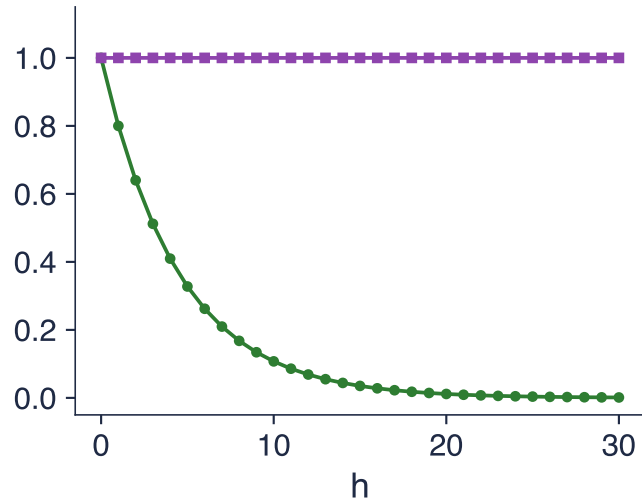


Trend-stationary: $y_t = 0.2 t + u_t$ Difference-stationary: $y_t = 0.2 + y_{t-1} + \varepsilon_t$ Effect of a unit shock after h periods

— without the shock

- - - trend line $0.2 t$

—■ random walk: 1

— with a shock of +6 at $t = 100$ —● trend-stationary: ϕ^h , $\phi = 0.8$